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SECTOR AT A GLANCE

Nonfarm Based Livelihoods

Skilling, Livelihoods and Labour Welfare Sector in India

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Nonfarm Based Livelihoods

Skilling, Livelihoods and
Labour Welfare Sector in India

The '**Sector-at-a-Glance**' provides an easy-to-read overview and basic understanding of a sector, sub-sector, or thematic area. The facts and insights on the sector are supported by relevant data and best practices from credible government and multilateral sources. The document covers the structure, key trends, opportunities and challenges, government initiatives, and the way forward for the sector.

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Overview

India's non-farm livelihood ecosystem encompasses various economic activities and sectors beyond traditional agriculture. The non-farm sector includes economic activities such as manufacturing, handicrafts, processing, repairs, construction, transport, trade, and many more where the employment growth in each of these industries has been influenced by a host of separate factors.¹

The sector has the potential to play a vital role in holistic and inclusive development of India's rural areas by increasing the employment and wages of rural labour, which can further lead to reduced income inequalities. Driven by technological advancements, policy interventions, and changing socio-economic dynamics, the sector continues to evolve while decreasing the vulnerability of rural households arising from several factors ranging from the vagaries of weather to a lack of access to sufficient credit.²

A well-functioning and vibrant non-farm sector can act as a complimentary force in balancing agricultural income fluctuations and be a catalyst for promoting inclusive growth and social justice.

This Sector at a Glance document entails information, insights and data on the three major sub sectors under rural non-farm sector, namely **Handlooms, Arts and Handicrafts and Khadi and Village Industries**. These three sub sectors make a large contribution in employment, economy and exports as stated below:



In the rural region, Handloom sector is the **2nd largest employment provider** in the country employing more than **3 million³** people in direct and allied activities in the year 2022-23.



In 2022-23, there were **744 handicraft** clusters employing nearly **212,000 artisans** and offering over **35,000 products⁴**.



The **turnover of Khadi and Village Industries products** have increased from **INR 31,154 crores** in 2013-14, to **INR 1,34,630 crores** in 2022-2023 and Khadi and Village Commission has set a new milestone by creating **9,54,899 new jobs** in rural areas.⁵

Therefore, Handloom, Art and Handicrafts and Khadi and Village Industries hold huge potential to contribute to the Government of India's mission of Atmanirbhar Bharat (Self-reliant India) by generating employment and entrepreneurship opportunities, reducing dependence on imports and eventually placing India strategically as a manufacturing hub on the world's map.

¹ Abi. et al. (2022). Expanding Non-Farm Livelihood Opportunities Through Mahatma Gandhi Nrega - An Exploration.

² Bhattacharjee et al. (2018). Farm Non Farm Linkage and Role of Non Farm Sector for Rural Development.

³ India Brand Equity Foundation (2023). Handloom Industry and Exports.

⁴ India Brand Equity Foundation (2023). Indian Handicrafts Industry and Exports.

⁵ Press Information Bureau (2023) A momentous LEAP by KVIC for registering 332% sales growth in 9 years.

Press Information Bureau (2022) PM participates in Khadi Utsav at the Sabarmati River Front, Ahmedabad.

Evolution of Non-farm based Livelihoods Sector

The non-farm-based livelihoods sector in India has undergone significant **evolution over the years**. Here is a brief overview of its evolution:

Figure 1: Evolution of non-farm Livelihoods sector



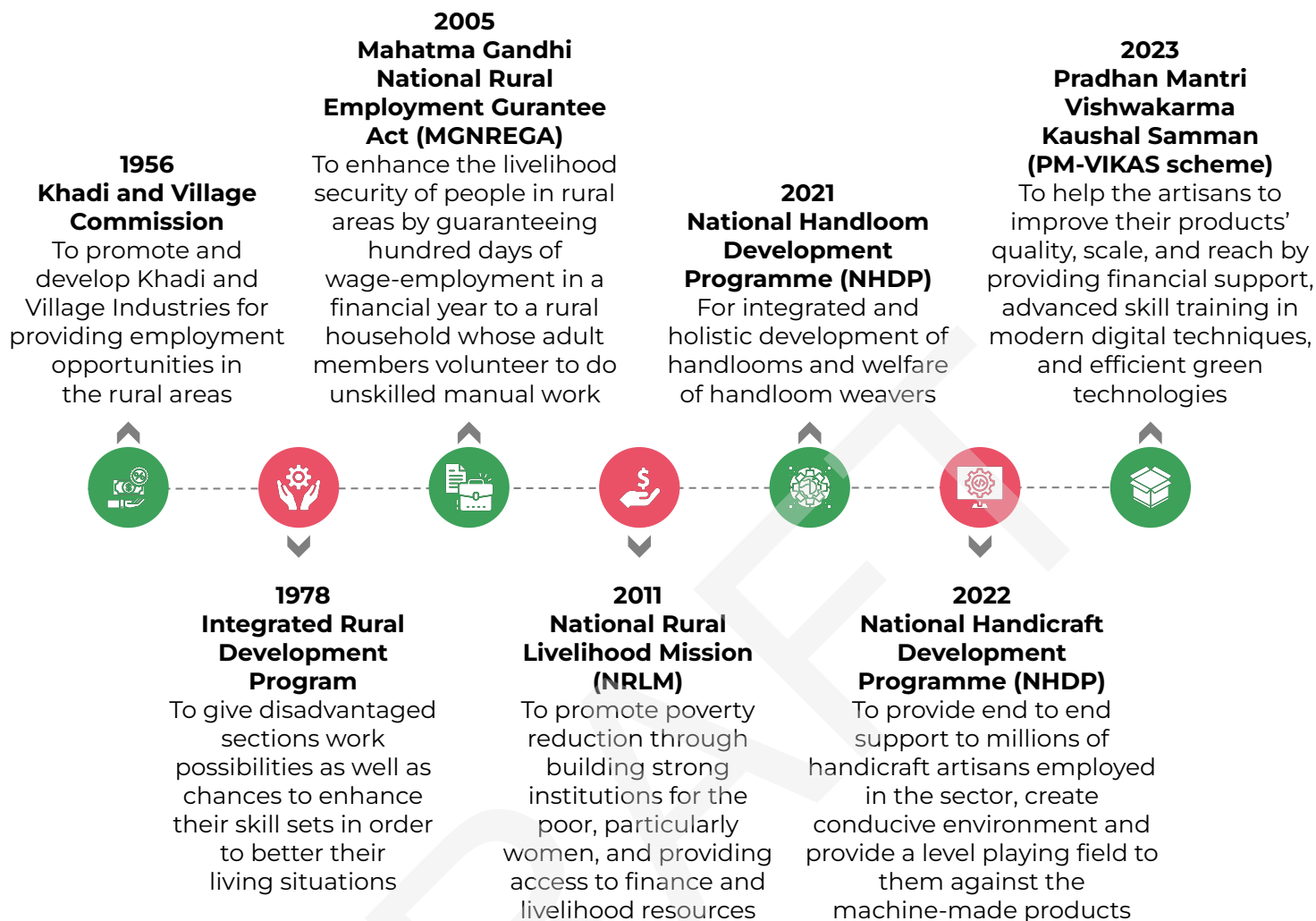
Source - Abi, et al. (2022). Expanding Non-Farm Livelihood Opportunities Through Mahatma Gandhi Nrega - An Exploration. Vijaykumar, B. (2023). Emerging issues in Business, Economics and Accounting

Note: The above figure just indicates broadly the evolution of the non farm sector and how it has expanded over the years. The timelines are indicative of the shift and not rigid in nature. There might be many other components that contributed in the evolution of the sector however, the above figure captures only the important ones.

Policy Evolution

Here is a glimpse of major policy initiatives in the non-farm based livelihoods ecosystem of the country:

Figure 2: Major Policy Initiatives



Stakeholders Mapping

Stakeholder's role is to collaborate and interact to create an enabling environment, while ensuring the growth and sustainability of non-farm livelihoods in India. The different stakeholders of the non-farm livelihoods ecosystem are mapped below in Figure 3

Figure 3: Stakeholders of non-farm Livelihoods Ecosystem

Central Ministries

- Ministry of Rural Development (Nodal Ministry)
- Ministry of Textiles
- Ministry of Micro, Small and Medium Enterprises
- Ministry of Tribal Affairs
- Ministry of Food Processing
- Ministry of Agriculture & Farmers' Welfare
- Ministry of Commerce and Industry

Beneficiaries

- Weavers
- Entrepreneurs
- Rural Poor Household
- Self Help Groups
- Farmers Producer organisations
- Artisans

Enablers

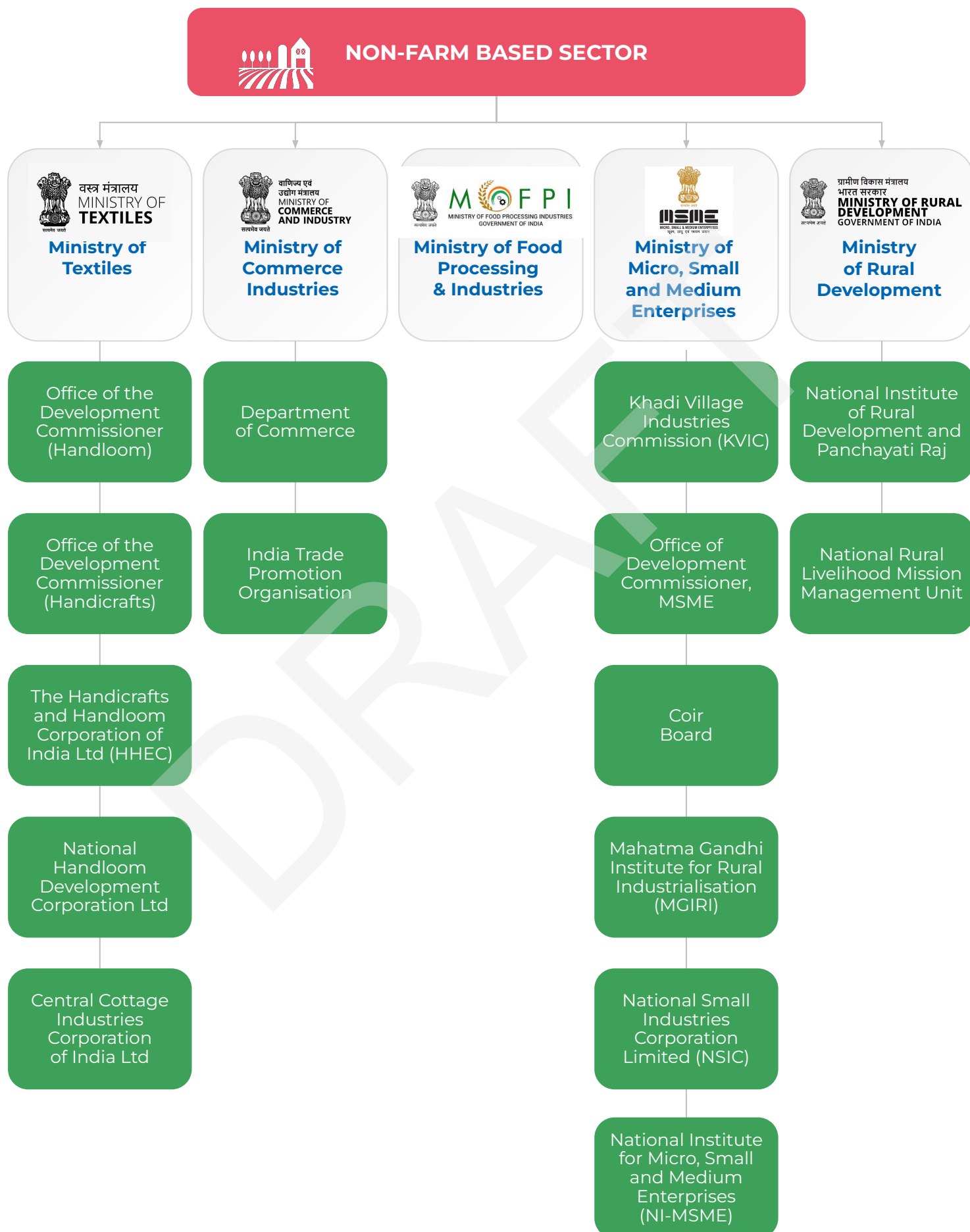
- National Rural Livelihood Mission (NRLM)
- Tribal Co-Operative Marketing Development Federation
- Civil Society organisations
- National Handloom Development Program
- Prime Minister's Employment Generation Programme (PMEGP)
- National Handicraft Development Programme [NHDP]
- Export Promotion Councils
- Handicrafts and Handlooms Exports Corporation of India Limited (HHEC)

Implementing Bodies

- District Project Coordination Units
- Block Project Implementation Units
- Respective Dept. Support Unit
- Banks
- Training Institutes
- Technical Support Agency (TSA)
- Empaneled NGOs
- Independent NGOs
- Khadi and Village Commission
- TRIFED
- Office of Development Commissioner
- State Handicraft Corporations
- State Handloom Development Corporations

Major Central Institutions of the Non-Farm Livelihoods Ecosystem

Figure 4: Major Government Institutions of the Non-farm Livelihoods Ecosystem



Sub-sectoral Trends

The below subsections will further provide key insights for the above selected three sub sectors based on relevant indicators:

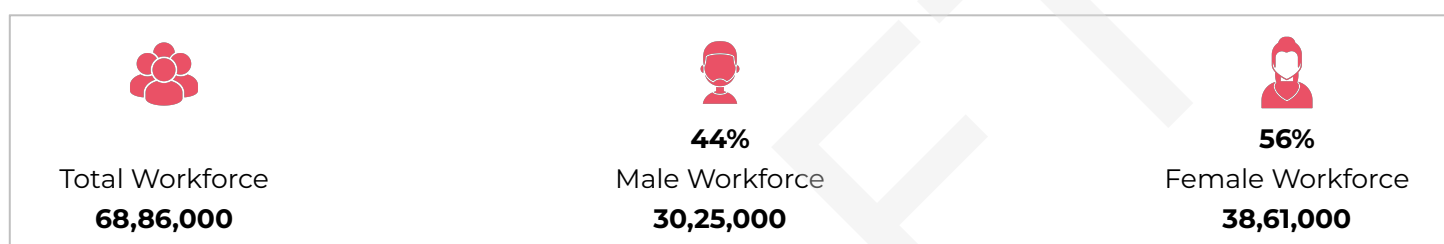
Art and Handicrafts

The Handicrafts sector plays a significant role in India's economy as it provides employment to a vast segment of rural and semi urban crafts persons. The sector has a great potential for sustaining the existing set of millions of artisans spread across the country as well as for the increasingly large number of new entrants in the crafts activity.

The country produces woodware, art metal wares, handprinted textiles, embroidered goods, Zari goods, imitation jewellery, sculptures, pottery, glassware, attars and many more products. Significant advances in the availability of handicraft products on various online portals are bolstering market growth in India.⁶

As per census of Handicrafts being conducted in the 11th plan (2007-2012), Ministry of Textile has projected the following employment figure for the year 2022-23:

Figure 5: Workforce in the Handicraft sector



Source: Annual Report 2022-23, Ministry of Textiles

In addition to the high potential for employment, the sector is economically important from the point of low capital investment, high ratio of value addition, and high potential for export and foreign exchange earnings for the country. The handicrafts sector is also significant from the point of view of providing employment to artisans and crafts persons many of whom are women or belong to other vulnerable and marginalised sections of society. The handicrafts sector has, however, suffered due to unorganised nature of sector, with the additional constraints of lack of education, low capital, poor exposure to new technologies, absence of market intelligence, and a poor institutional framework.

Key Statistics



⁶India Brand Equity Foundation (2023). Indian Handicrafts Industry and Exports.

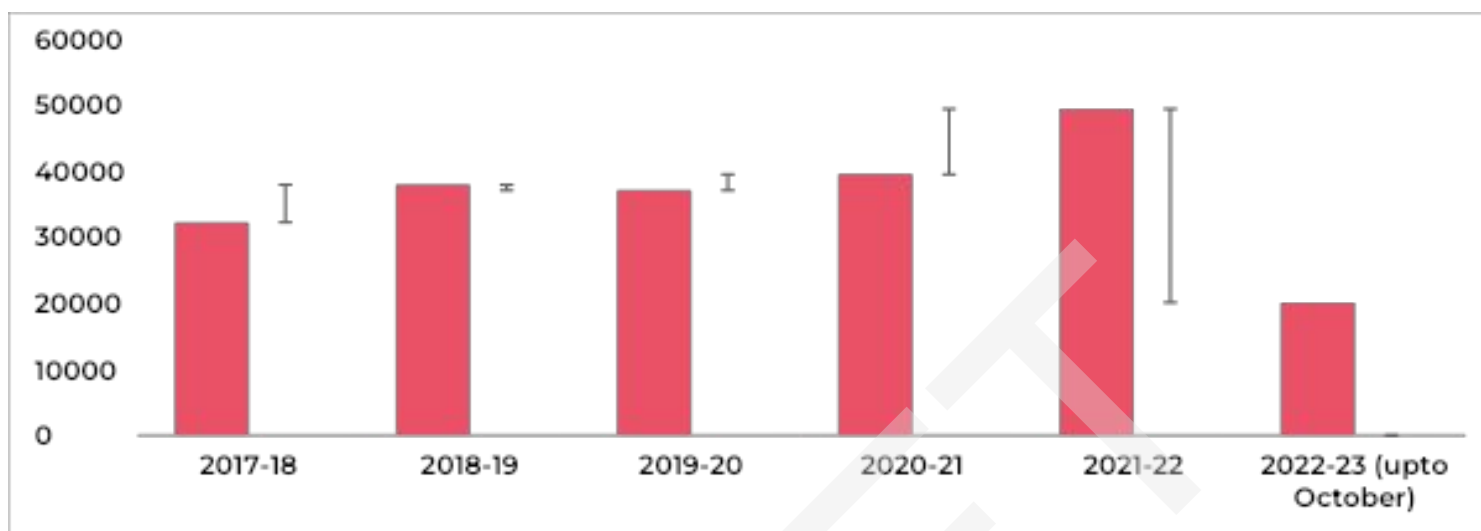
⁷Ministry of Textiles, Government of India (2023). Annual Report 2022-2023.

⁸India Brand Equity Foundation (2023). Indian Handicrafts Industry and Exports.

⁹Ministry of Textiles, Government of India (2023). Annual Report 2022-2023.

It is evident from the export data that handicraft sector has emerged as one of the major sources for foreign exchange earnings for the country and is one of the important suppliers of handicrafts to the world market., Also, the sector has immense employment potential specially in the rural and semi-urban areas catering to people coming from the economically marginalised background.

Figure 6: Exports of handicrafts during last five years i.e., from 2017-18 to 2022-23 (In ₹ Crores)



Source: Annual Report 2022-23, Ministry of Textiles

Handlooms

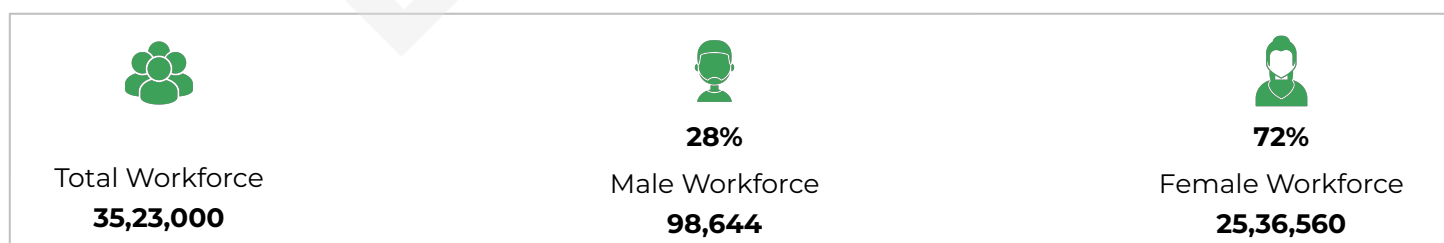
Handloom sector is an integral part of semi-rural and rural livelihoods in India. Handloom weaving is the one of the vibrant aspects of India's cultural heritage engaging over 35 lakh people.¹² as per the year 2022-23. Due to exquisite designs, Handloom products are in demand in domestic and international markets with discernible clientele.

The sector is uniquely placed in the economy and has an advantage of being less capital intensive, using minimal power, being eco-friendly, flexibility of small production, openness to innovations and being adaptive to market requirements.

Economic liberalization and the adoption of modern techniques, however, has made serious inroads into the Handloom sector. Competition from powerloom and mill sector, availability of cheaper imported fabrics, changing consumer preferences and alternative employment opportunities have threatened the vibrancy of Handloom sector.

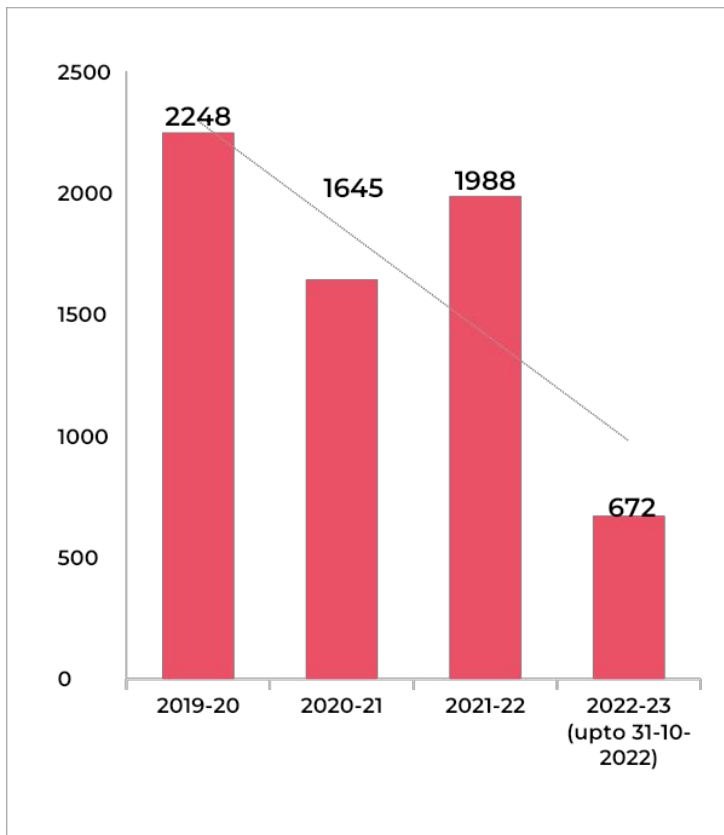
The employment in the Handloom sector in the year 2022-23 is given below:

Figure 7: Workforce in the Handloom sector



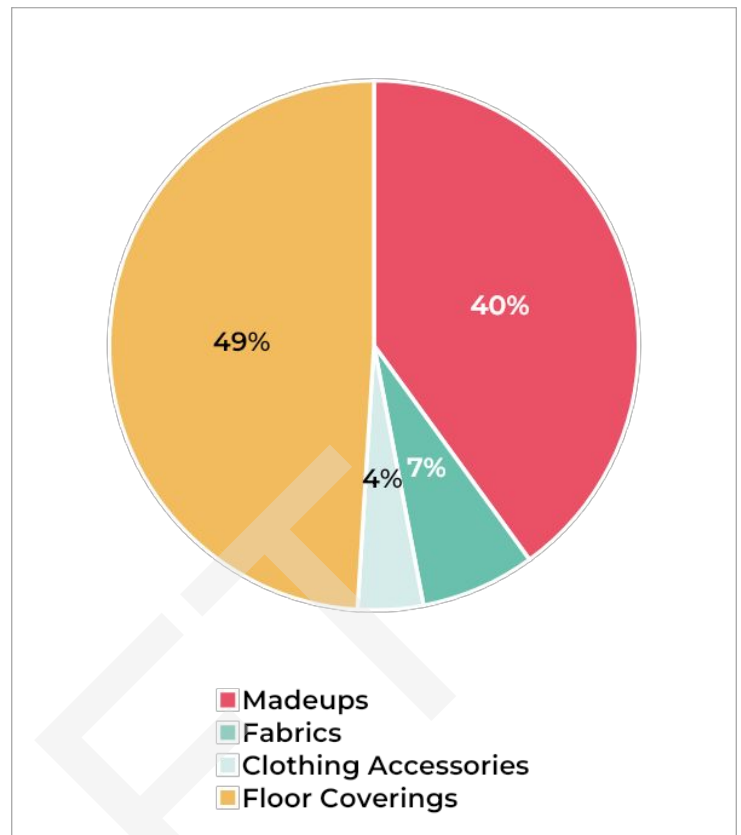
Source: Annual Report 2022-23, Ministry of Textiles, Government of India

Figure 8: Exports Achievements during last 3 years (In INR Cr)



Source: Annual Report 2022-23, Ministry of Textile

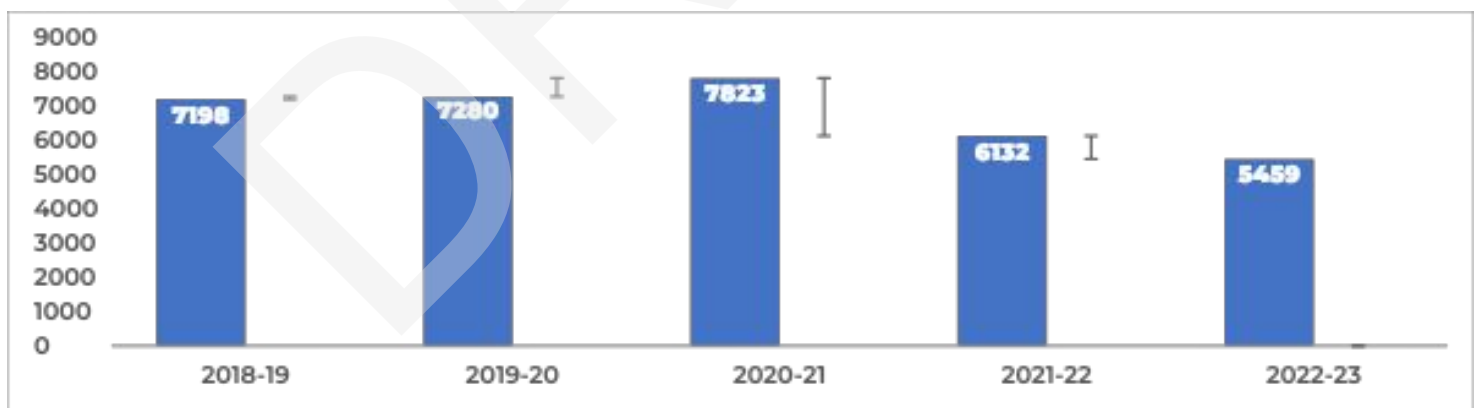
Figure 9: Category-wise share of handlooms exports revenue (2020-21)



Source: The Handloom Export Promotion Council

In the Handloom industry, Cotton accounts for around 21% of the total global fibre production. In the raw material consumption basket of the Indian textile industry, the proportion of cotton is around 60%. While the consumption of cotton is approximately 316 lakh bales (170 kg each) per year.¹¹

Figure 10: Handloom Production during last 5 years (2018-23) In '000 MT



Note: The above graph contains the production data of cotton, silk and jute.

India is the second largest producer of silk in the world with the production of 34,903 MTs¹² and also the largest consumer. It is the only country, which is producing all the four commercial varieties of silk, namely Mulberry, Tropical & Oak Tasar, Muga and Eri.

¹¹Ministry of Textiles, Government of India (2023). Annual Report 2022-2023

¹²Ministry of Textiles, Government of India (2023). Annual Report 2022-2023

Key Statistics



Production

- This sector contributes nearly **15%¹³ of the cloth production** in the country.
- **95%¹³** of the world's hand-woven fabric comes from India.
- In the Handloom industry, **Cotton accounts for around 21%** of the total global fiber production whereas India is the second largest producer of **silk** in the world with the production of **34,903 MTs¹⁴**



Exports

- **The USA is the biggest importer** of handloom products from India, consistently the top importer from 2016 till date.
- The major handloom export centres are Karur, Panipat, Varanasi & Kannur.
- In Jan-June 2022, India exported cotton yarn/ fabrics /made-ups, handloom products etc. worth **USD 7.17 billion**



Employment

- According to the Handloom Census 2019-20, the industry employs about **3 million handloom workers** across the country.
- The industry primarily employs women workers with a share of **72.29%¹⁶** of the total handloom workers.
- In the year 2023, the handloom industry is the country's largest cottage industry, with **23.77 lakh looms¹⁶**

One of the largest in terms of employment potential, handloom industry, plays a very significant role in the country's economy, producing both for domestic as well as international consumption. The handloom sector is an important medium for empowering women as women workers are 72% of the total weavers.

Khadi and Village Industries

Khadi and Village Industries activities are a key source of livelihoods for rural and urban people who largely include spinners, weavers and other artisans spread across the country.¹⁷

To promote and support khadi & village industries, Khadi & Village Industries Commission (KVIC) in the year 1957 has been established with the objective to plan, support and promote khadi & village industries under the aegis of the Ministry of Micro, Small and Medium Enterprises. It engages in promoting and developing khadi and village industries for providing employment opportunities in the rural areas, thereby strengthening the rural economy.¹⁷

Khadi Industry

Khadi has been associated with the freedom struggle of India and is considered to be the pride of India in the world. Khadi activity is considered as a potential tool for creation of employment opportunities at the doorstep of rural artisans at very low capital investment. From 2014 to 2023, there has been an unprecedented **growth of 332%¹⁸** in the sale of indigenous khadi products made by artisans in rural areas. The employment in the khadi sector in the year 2022-23 is given below:

Figure 11: Workforce in Khadi Sector (2022-23)



Total Workforce
4,97,000



20%
Male Workforce
99,400



80%
Female Workforce
3,97,600

Source: Annual Report 2022-23, Ministry of Micro, Small and Medium Enterprises (MSME)

¹³ India Brand Equity Foundation (2023). Handloom Industry and Exports.

¹⁴ Ministry of Textiles, Government of India (2023). Annual Report 2022-2023

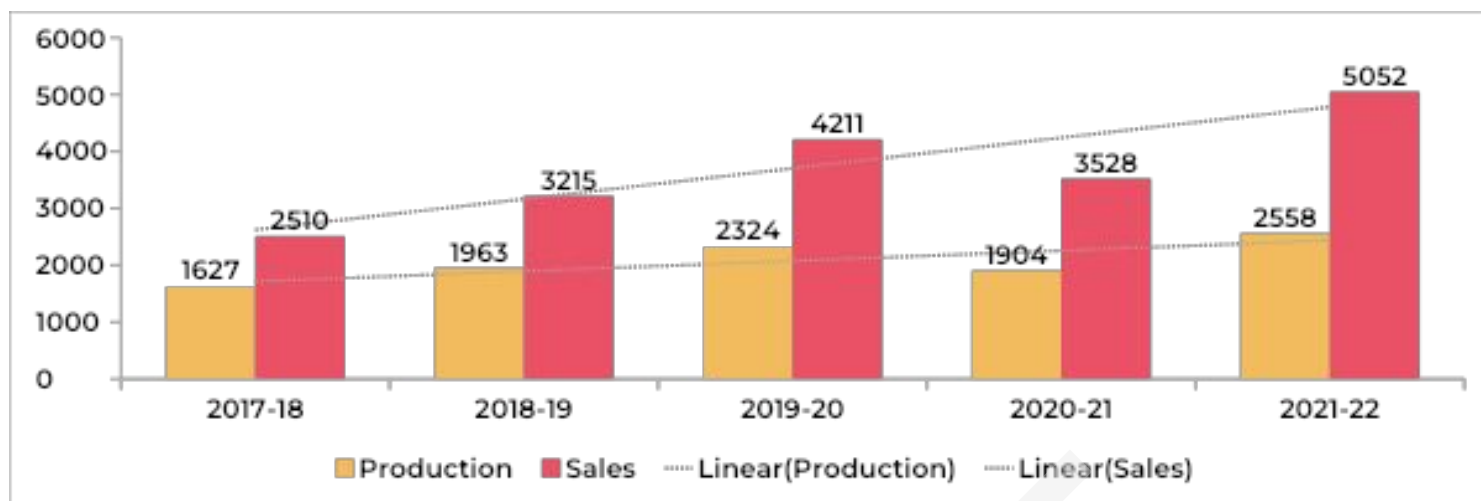
¹⁵ Invest India (n.d). Handloom and Handicraft

¹⁶ Ministry of Textiles, Government of India (2023). Annual Report 2022-2023

¹⁷ Ministry of Micro Small and Medium Enterprises (2023). Annual Report 2022-23

¹⁸ Press Information Bureau (2023). A momentous LEAP by KVIC for registering 332% sales growth in 9 years

Figure 12: Khadi Sector: Production and Sales (In INR Cr) from 2017-2022

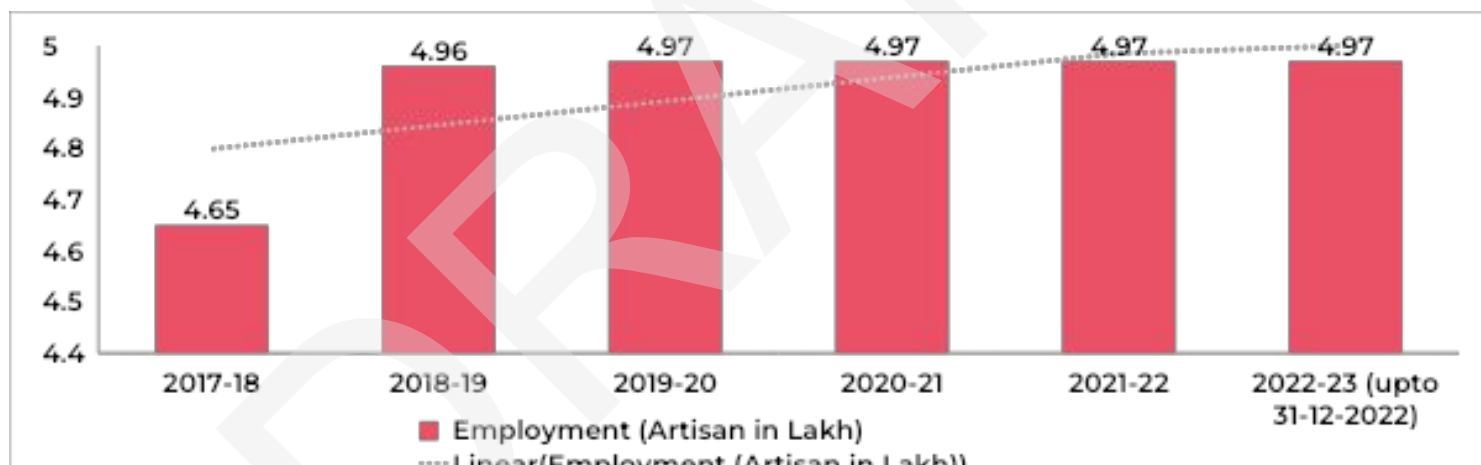


Note: Including Polyvastra & Solarvastra

Source: Annual Report 2022-23, Ministry of Micro Small and Medium Enterprises.

As per the Annual Report of Ministry of Micro, Small and Medium Enterprises, the employment figure from the year 2017 till 2022-23 are shown in the below graph:

Figure 13: Khadi Sector: Employment 2017-23



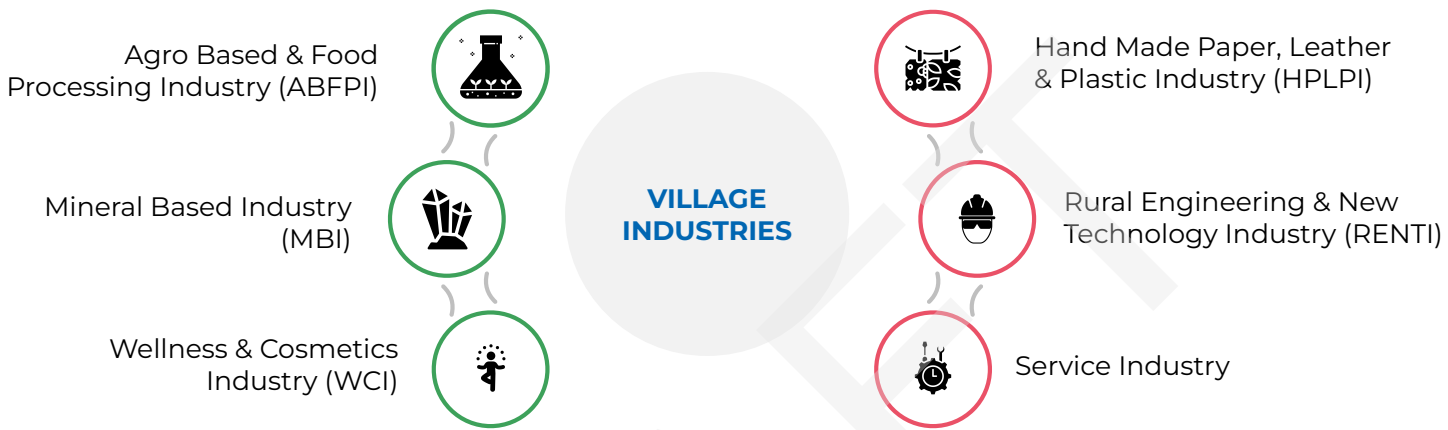
Source: Annual Report 2022-23, Ministry of Micro Small and Medium Enterprises

Village Industries

Village Industry means any industry located in a rural area that produces any goods or renders any service with or without the use of power in which the fixed capital investment per head of an artisan or a worker does not exceed Rs.1.00 Lakh in plain areas and Rs.1.50 Lakhs in hilly areas or such other sum maybe by notification in the official gazette, be specified from time to time by the Central Government.¹⁹

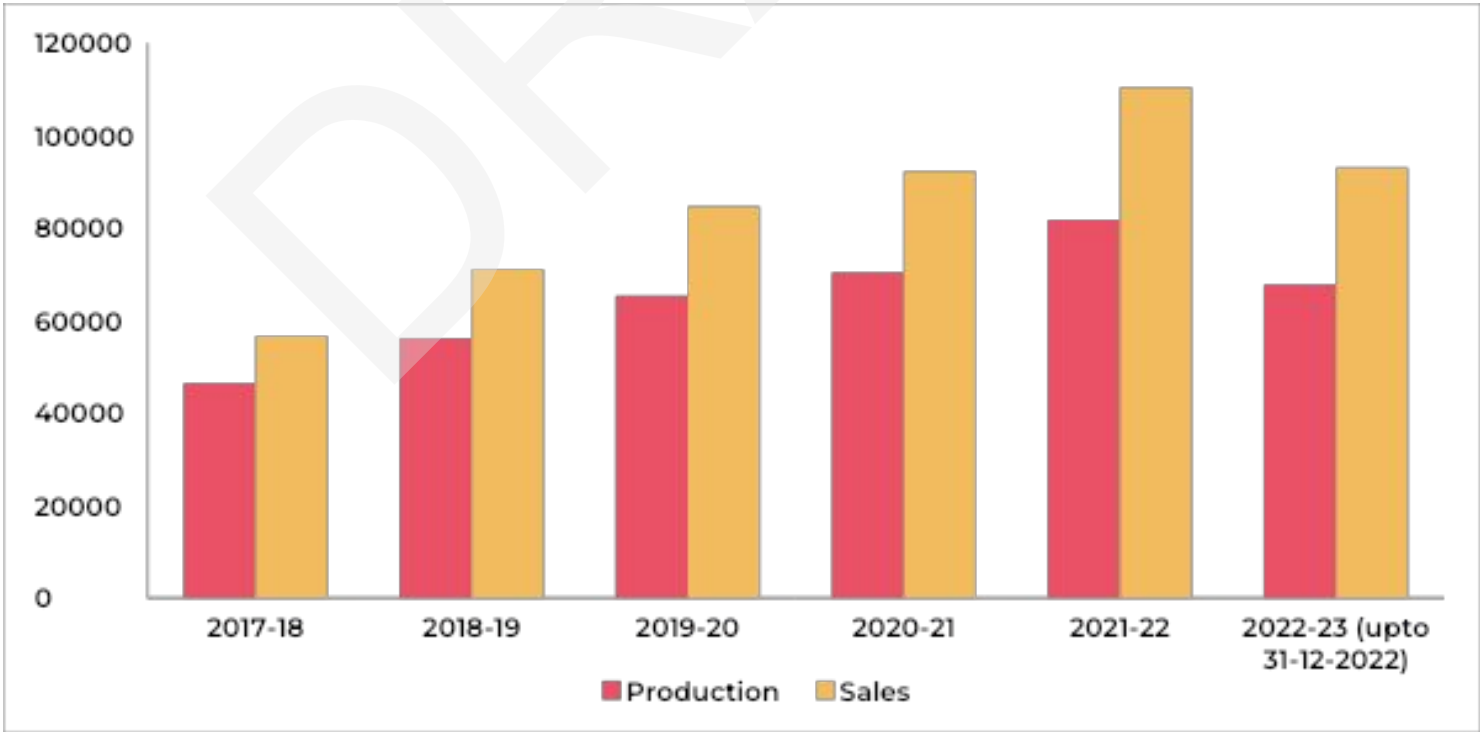
Village Industries verticals which have been considered in the **Gramodyog Vikas Yojana (GVY)** are as following:

Figure 14: Verticals under Gramodyog Vikas Yojana (GVY)



Source: Annual Report 2022-23, Ministry of MSME

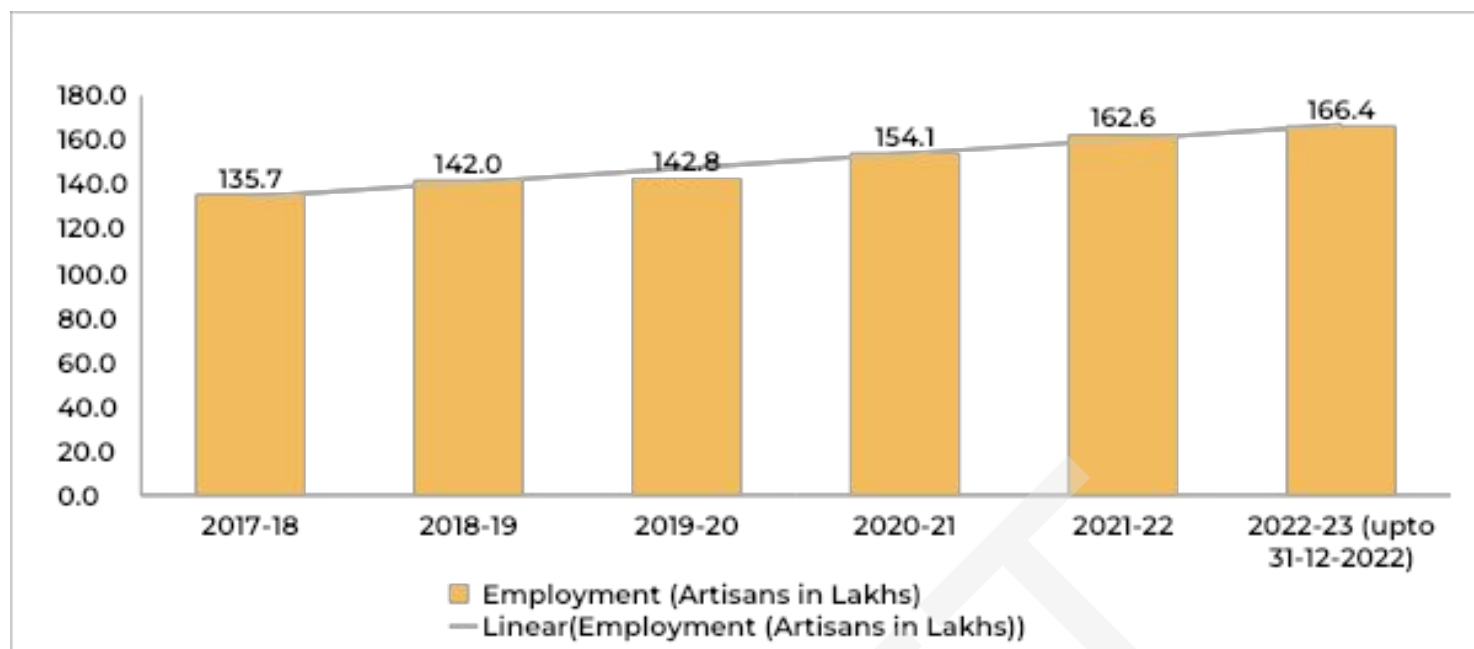
Figure 15: Production and Sales of Village Industries (In ₹ Crores) from 2017-23



Source: Annual Report 2022-23, Ministry of Micro Small and Medium Enterprises

¹⁹ Ministry of Micro Small and Medium Enterprises (2023). Annual Report 2022-23

Figure 16: Employment in Village Industries (2017-23)



Source: Annual Report 2022-23, Ministry of Micro Small and Medium Enterprises

The Khadi and Village industries still has a long way to go as it suffers from too much of reliance on budgetary sources, lack of adopting new market techniques and lack of product innovativeness.



Production ²⁰

- Exceptional growth in the production of KVI products from **Rs.26,109** crores in 2013-14, to **95957 crores** in 2022-23 with a remarkable leap of **268%**.
- In 2013-14, where the production of Khadi clothes was Rs 811 crore, with a jump of **260%**, it has touched the figure of Rs.2916 crore in 2022-23 which is the new record production of Khadi fabrics.



Sales ²⁰

- A Big boom in sale of KVI products as the sales in 2013-14 was worth **Rs.31,154** crores, with an unprecedented growth of **332%**, it reached **Rs.1,34,630 crores** in 2022-23, which has been the highest ever.
- Khadi fabric sale has also seen a rapid growth in the demand for Khadi fabrics. In 2013-14, where its sales was only **Rs.1081 crores**, during 2022-23, it has increased by **450%** to touch the figure of **Rs.5943** crores.



Employment ²⁰

- The cumulative employment has increased by **36%**. It was **130,38,444** in 2013-14 and has reached **177,16,288** in 2022-23.
- Ever since 2013-14, the remunerations of khadi artisans have been increased by more than **150%**. Recently, w.e.f. from April 1, 2023, the wages of Khadi artisans have been further increased by more than **33%**.

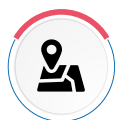
Khadi and village industries have seen immense growth in terms of production, sales and export especially after the vision and efforts of the Government to revive khadi sector and by providing assistance through various policies/programs such as Atamanirbhar Bharat, vocal for local campaign and many more.

²⁰ Press Information Bureau (2023) A momentous LEAP by KVIC for registering 332% sales growth in 9 years.

Opportunities and Challenges

Drawing from the previous sections, given below are the detailed challenges that were highlighted above, and the opportunities associated with them.

Table 1: Opportunities and Challenges of non-farm Livelihoods sector



AREA	CHALLENGES	OPPORTUNITIES
Technology interventions and adoption	- Access to affordable and appropriate technologies - Resistance of craftspersons to change and shift from traditional methods	- Focusing on improving infrastructure, such as electricity supply, internet connectivity, and transportation facilities. - Promoting awareness and providing skill development and upskilling programs/trainings such as Handicraft Technical Training Programme organised by Assam Apex Weavers and Artisans Cooperative Federation Ltd to non-farm producers and craftspeople about available technologies and their potential benefits can help overcome the knowledge gap and build confidence in technology adoption.²¹
Innovation	Limited focus on Research and Development to create innovative products that can compete both in domestic and global markets	- Encouraging investment in R&D can help producers identify ways to improve product quality, packaging, design, and functionality, making them more attractive to consumers globally and enabling producers to command better prices in the market. 03 Survey/Studies and 231 Workshop/ Seminar have been sanctioned amounting ₹1180.38 lakh in the year 2022-23. More such in depth studies need to be conducted to promote product innovation²²
Market Linkages	- Staying competitive in global markets through compliance with quality and standards - Limited access for craftspersons to wider markets and lack of digital skills and access to internet devices - Lack of information/awareness for craftspersons on consumer needs, market trends, e commerce platforms, price and many more leading to poor negotiation skills and inability to compete in wider markets²⁶	- Providing training programs to educate non-farm producers about quality control, packaging, labelling, and certification requirements to meet market demands. - Encourage the use of online marketplaces, social media and e-commerce platforms such as India handmade portal launched by the Government to overcome geographical barriers and reach the audience worldwide. - Strengthening market infrastructure by improving transportation infrastructure, storage facilities, and market facilities can enhance market access for non-farm producers. - Establishing robust market information systems through digital platforms, mobile applications, and market intelligence networks that can provide timely and accurate information on prices, market trends, and consumer preferences enabling producers to compete in wider markets²³

²¹ Vijaykumar, B. (2023). Emerging issues in Business, Economics and Accounting

²² Ministry of Textiles, Government of India (2023). Annual Report 2022-2023

²³ Abi, et al. (2022). Expanding Non-Farm Livelihood Opportunities Through Mahatma Gandhi Nrega - An Exploration. Ministry of Textiles, Government of India (2023). Annual Report 2022-2023

Access to finance	• Lack of financial literacy leading to difficulty in navigating the available credit programs /schemes/financial support by the government. • Lack of formal documents and collateral to take loans which hinders the ability of non-farm producers to access formal credit facilities • Promoting financial literacy by providing trainings on financial management and raising awareness about the available government support can improve their access to finance • Innovative credit models, such as collateral-free loans based on cash flows, group lending, and digital lending platforms, can help overcome the collateral and documentation challenges faced by non-farm producers • Improvements in the fiscal/tax/banking or macro-level financial environment are required to encourage craft entrepreneurial ventures on a small scale, such as easier access to loans and private equity funding via SIDBI and NABARD.
Collectivisation and Social Capital	• Fragmented landscape • social hierarchy among the community • Providing training and capacity-building programs on topics such as leadership, conflict resolution, and governance can empower them to actively participate in collective decision-making processes.²⁴ • Ensuring the representation of marginalised groups, in collective initiatives (SHGs, Cooperatives and FPOs) is crucial for addressing power imbalances and promoting equitable participation.
Business Planning and Marketing	• Limited business skills, communication/presentation skills • Lack of digital skills and access to internet devices • Providing capacity building programs and handholding support to micro business holders to create business plans, build strong narratives to effectively communicate the unique value proposition of their business ideas. • Business schools like the IIMs may be involved in business planning for grassroots producers' groups or social enterprises as institutional projects.
Regulation and restrictions	• Complex regulatory environment and burdensome compliance procedures can hinder the business growth of the non-farm producers • Streamlining and simplifying regulations can enhance ease of compliance across different sectors. It can also minimize inconsistencies and confusion and can help the non-farm producers to grow and scale their businesses without much hassle.²⁵

²⁴ [Press Information Bureau \(2021\). 23 e-commerce entities engaged for online marketing of handloom products](#)

²⁵ [Abi, et al. \(2022\). Expanding Non-Farm Livelihood Opportunities Through Mahatma Gandhi Nrega - An Exploration](#)

Cross-cutting Themes

Figure 17: Cross cutting themes in the non-farm Livelihood sector

Gender and Inclusivity



- **Significance**

Inclusive practices and gender mainstreaming allows marginalised groups, including women and minority communities, especially abled people to participate in economic activities, generate income, and improve their livelihoods

- **Policies/Programs**

Limited number of programs available such as Start up Village Entrepreneurship Programme (SVEP) under National Rural Livelihood Mission (NRLM) and Aajevika Grameen Express Yojana (AGEY)

- **Way forward**

Gender specific programs in non-farm livelihoods like Mahila Kisan Shashtikaran Program for Farm livelihoods²⁶

Climate and Sustainability



- **Significance**

Climate-friendly practices and sustainable approaches in the entire non-farm value chain can enhance market competitiveness, innovation, attract environmentally conscious consumers, and improve the sector's reach. It opens opportunities for diversifying income sources of the nonfarm producers

- **Policies/Programs**

Green Skills Development Program

- **Way Forward**

Integration of component of sustainability and embracing sustainable practices like Fairtrade in non-farm livelihoods sector²⁶

Enterprise Promotion



- **Significance**

Promoting enterprises facilitates the diversification of livelihoods and encourages individuals to explore alternative income-generating activities, such as small-scale industries, handicrafts, services, tourism, and non-agribusiness

- **Policies/Programs**

Prime Minister Employment Generation Program (PMEGP), Start up Village Entrepreneurship Programme (SVEP) under National Rural Livelihood Mission (NRLM) and Pradhan Mantri Formalisation of Micro Food Processing Enterprises Scheme (PMFME)

- **Way Forward**

Formalization of nano and micro enterprises in non-farm livelihood sector for enabling access to finance and markets and promoting collectives.²⁶

R&D



- **Significance**

Research and Development in non-farm sector plays a crucial role as it can support in value addition and quality enhancement of products, development of new versatile and innovative products holding the potential to increase the exports

- **Policies/Programs**

Research and development sub scheme under National Handicrafts Development Program

- **Way Forward**

GI tagging, Surveys and Census, Evaluation and Impact studies of Handicraft sector²⁶

Good Governance



- **Significance**

Good governance ensures access to timely and accurate information, simplifies government processes, and enables better service delivery to individuals and businesses engaged in non-farm livelihoods activities

- **Policies/Programs**

Limited number of policies/programs available such as Pradhan Mantri Formalisation of Micro Food Processing Enterprises Scheme

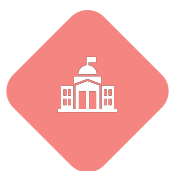
- **Way Forward**

Emphasis on effectively using e Governance Initiatives such as the National e-Governance Plan (NeGP)²⁶

²⁶ Abi, et al. (2022). Expanding Non-Farm Livelihood Opportunities Through Mahatma Gandhi Nrega - An Exploration Gupta et al. (2020). Transforming Rural Non-Farm Livelihoods

Government Interventions

Table 2: Major Government Interventions in the non-farm Livelihoods sector



KEY POLICIES, THEMES/ACTS/ PROGRAMS	MINISTRIES/ GOVT. AGENCIES	TARGET GROUP	KEY FEATURES
Raw Material Supply Scheme (RMSS) Year of Initiation – 1992	Ministry of Textiles	Handloom Weavers	The aim is to make available all types of yarn to Handloom weavers.
Khadi Gramodyog Vikas Yojana Year of Initiation – 1998	Ministry of Micro, Small and Medium Enterprises	Khadi Institutions and artisans	This umbrella scheme aims to increase the productivity of Khadi artisans, secure livelihood and to increase production, sales and employment. It also aims to develop village industries, revive the traditional skills of rural artisans, renovate and modernize sales outlets and to promote marketing and exports. For the service industry, it provides training to electrician and plumbers along with distributing toolkits to trained beneficiary.
Credit Guarantee Scheme for Micro & Small Enterprises (CGTMSE) Year of Initiation – 2000	Ministry of Micro, Small and Medium Enterprises	Existing Entrepreneurs and Aspiring Entrepreneurs	To encourage first generation entrepreneurs to venture into self-employment opportunities by facilitating credit guarantee support for collateral free / third-party guarantee-free loans to the Micro and Small Enterprises, especially in the absence of collateral.
Marketing Development Assistance Year of Initiation – 2000	Ministry of Micro, Small and Medium Enterprises	MSMEs and industry associations	This Scheme's objective is to promote new market access initiatives, create awareness and educate Micro Small and Medium Enterprises about various marketing relevant topics and development of marketability.
Scheme of Fund for Regeneration of Traditional Industries (SFURTI) Year of Initiation: 2005	Ministry of Micro, Small and Medium Enterprises	Existing artisans from traditional industries in sectors such as Handicraft, Textile and many more	To promote cluster development and organize the traditional industries and artisans into clusters to make them competitive and provide support for their long-term sustainability.
Mahatma Gandhi National Rural Employment Guarantee Act Year of Initiation – 2006	Ministry of Rural Development	Any unemployed individual above 18 years	The MGNREGA provides a legal guarantee for one hundred days of employment in every financial year to adult members of any rural household willing to do public work-related unskilled manual work at the statutory minimum wage.

Micro & Small Enterprises Cluster Development Programme (MSE-CDP) Year of Initiation: 2007	Ministry of Finance	Individuals, Proprietary concern, Partnership Firm, Private Ltd. Company, Public Company. Any other legal forms	The scheme facilitates micro credit/Loan up to Rs. 10 lakh to income generating micro enterprises engaged in the non farm sector in manufacturing, processing, trading or service sector
Prime Minister's Employment Generation Programme (PMEGP) Year of Initiation – 2008	Ministry of Micro, Small and Medium Enterprises	Any unemployed individual above 18 years	A major credit-linked subsidy programme aimed at generating self-employment opportunities through establishment of micro-enterprises in the non-farm sector by helping traditional artisans and unemployed youth
Deendayal Antyodaya Yojana-National Rural Livelihood Mission (DAY-NRLM) Year of Initiation - 2011	Ministry of Rural Development	Entrepreneurs, SHGs and Farmers	Under NRLM, the subschemes relevant to nonfarm sector are as follows: Startup Village Entrepreneurship program (SVEP) (2016) The objective of SVEP is to help the rural poor come out of poverty by helping them set up enterprises and provide support till the enterprises stabilize. Ajeevika Grameen Express (2017) The objective of the Aajeevika Grameen Express Yojana (AGEY) scheme is to offer members of Self Help Groups an alternative household income by facilitating them to operate public transport (e-rickshaws, three and four-wheeler motor vehicles) in backward rural areas. National Rural Economic Transformation Project(2019) To establish cluster level federations as model CLFs, promotion of clusters to support rural artisans/ enterprises, extend social protection to SHG members
Khadi Reform and Development Programme (KRDP) Year of Initiation – 2014	Ministry of Micro, Small and Medium Enterprises	Khadi Artisans	To fully realize the significant growth potential of Khadi and Village Industry Sector, in terms of employment generation, enhancing the earning of artisans and ensure positioning of Khadi in consonance with the current market needs.
Pradhan Mantri Mudra Yojana (PMMY) Year of Initiation: 2015	Ministry of Micro, Small and Medium Enterprises	MSMEs and their collectives	To create/upgrade infrastructural facilities in the new/existing industrial areas/ clusters of MSEs.
A Scheme for promoting Innovation, Rural Industry & Entrepreneurship (ASPIRE) Year of Initiation – 2015	Ministry of Micro, Small and Medium Enterprises	Any agency/institution of Government of India/ State government or existing training centres under Ministries/ Departments of Government of India/ State Government, Industry Associations, Academic Institutions	To set up a network of Livelihood Business Incubators (LBIs), predominantly in the rural and underserved areas and to promote innovation and accelerate entrepreneurship.

Stand up India Year of Initiation: 2016	Ministry of Finance	SC/ST and/or women entrepreneurs, above 18 years of age	It aims to promote entrepreneurship amongst women, Scheduled Castes (SC) & Scheduled Tribes (ST) categories, to help them in starting a greenfield enterprise in manufacturing, services or the trading sector and activities allied to agriculture
Shyama Prasad Mukherjee Rurban Mission Year of Initiation – 2016	Ministry of Food Processing Industries (MoFPI)	Micro Enterprises, SHGs, FPOs	The Scheme aims to augment the existing individual micro-enterprises in the unorganised segment of the food processing industry and formalize two lakh micro food processing enterprises
Entrepreneurship and Skill Development Program Year of Initiation – 2019	Ministry of Micro, Small and Medium Enterprises	Aspiring and existing Entrepreneurs	To promote new enterprises, capacity building of existing MSMEs and inculcating entrepreneurial culture in the country.
Procurement and Marketing Support Scheme (P&MS) Year of Initiation – 2019	Ministry of Micro, Small and Medium Enterprises	Manufacturing/ Service Sectors MSEs having valid Udyam Registration (UR) Certificate.	To encourage Micro and Small Enterprises (MSEs) to develop domestic markets and promotion of new market access initiatives and to facilitate market linkages.
Pradhan Mantri Formalisation of Micro Food Processing Enterprises Scheme (PMFME) Year of Initiation: 2020	Ministry of Rural Development	Village Clusters	To strengthen rural areas by providing social, infrastructure amenities, thus leading to sustainable and balanced regional development in the country.
National Handloom Development Programme Year of Initiation – 2021	Ministry of Textiles	Handloom Weavers	The scheme supports weavers, both within and outside the cooperative fold including Self Help Groups, Non-Governmental Organisations towards raw material, design inputs, technology up-gradation, marketing support through exhibitions, Create permanent infrastructure in the form of Urban Haats, marketing complexes, development of web portal for e-marketing of handloom products.
Comprehensive Handicrafts Cluster Development Scheme (CHCDS) Year of Initiation: 2021	Ministry of Textiles	Local Artisans and SMEs	CHCDS aims to create world-class infrastructure that caters to the business needs of the local artisans and SMEs to boost production and export.
National Handicraft Development Programme [NHDP] Year of Initiation – 2021-22	Ministry of Textiles	Handlooms and Handloom Weavers	The objective is to bring every handicraft artisan into a mainstream while preserving and ensuring continuation of prestigious crafts by providing marketing platforms for handicraft products, and skilling new entrants through numerous kinds of design and skill training programmes.

Marketing & Logistics Development for Promoting Tribal Products from the Northeastern Region (PTP-NER) Year of Initiation – 2022

Ministry of Tribal Affairs

Tribal Artisans

The scheme aims to strengthen livelihood opportunities for tribal artisans of North-eastern States of India through increased efficiency in procurement, logistics and marketing of tribal products.

National SC – ST Hub Year of Initiation – 2023

Ministry of Micro, Small and Medium Enterprises

Aspiring and existing SC – ST Entrepreneur

To provide professional support to SC ST entrepreneurs, adopt applicable business practices, and leverage the Stand up India Initiatives

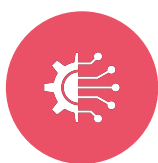
Way Forward

The following areas hold the potential to shape and strengthen the landscape of non-farm-based livelihood sector in India:



Collaboration and Convergence

- Collaboration and convergence between ministries play a pivotal role in strengthening and diversifying livelihoods. It fosters synergy by combining the strengths and expertise of different departments. This can result in the development of more robust and effective programs that cater to the diverse needs of the non-farm sector.
- Some of the current convergence examples are of MoFPI's schemes such as **PMFME with NRLM** has accelerated the setting-up of agri & food enterprises in the villages resulting in additional employment for rural population. Livelihood support activities are being taken by **NRLM promoted SHGs under MGNREGS**. For Leveraging SHG platform for rural economic growth through **convergence of Department of Animal Husbandry and Dairying (DAHD), MoFAHD and National Rural Livelihoods Mission (NRLM), MoRD**, an MOU was signed in September 2021. MoU ensures the use of SHGs members as livestock resource persons & primary service providers through 'A-HELP'
- The other potential collaborations of MoRD and NRLM could be with Ministry of Textile, Agriculture, Tourism, MSME and Environment and Forest.



Technology Adoption and Adaption

- India's manufacturing sector is embracing digital transformation with an adoption rate of **54%** for analytics and AI. Despite challenges such as supply chain disruption and geopolitical uncertainties, government initiatives such as Production Linked Incentive Schemes (PLI) Make in India, Digital India have created a favourable environment for the sector.²⁷
- Digitalisation will go a long way in reducing traditional bottlenecks such as shrinking markets and low density that have been roadblocks in building long-term and sustainable rural economies. It brings the non-farm workforce in digital realm by enabling access to digital and internet technology and promoting digital skills.²⁸
- Highlighting the success stories and tangible benefits of technology adoption in the non-farm sector can serve as motivation and inspiration for other producers, fostering a positive perception and willingness to adopt technologies²⁹
- Implementing digital literacy programs that focus not only on basic digital skills but also on using technology for livelihood enhancement catering to different age groups and education levels can enhance technology adoption.²⁹
- Technology can also make available information about regional and global markets to help rural producers learn of new market opportunities, reach new consumers, and invest in the capabilities required to compete in global value chains.³⁰

²⁷PriceWaterHouseCoopers Pvt Limited. (2023). Reimagining Digital Factories of Tomorrow

²⁸Invest India. (2022.) Technology and Rural Development

²⁹Vijaykumar, B. (2023). Emerging issues in Business, Economics and Accounting

³⁰Gupta et al. (2020). Transforming Rural Non-Farm Livelihoods



Participation of Women

- According to PLFS 2019-2020, Female Labour Force Participation rate among population of 15 years and above, is **30%**, up from **24.5%** in 2018-19 and **23.3%** in 2017-18. Increase driven more by rural female (33% in 2019-20 vs 24.6% in 2017-18) than by urban (up from 20.4% to 23.3%). However, there is a need to bring women out of the stereotyped low-quality jobs, which is possible by their frequent skilling and re-skilling. This transformative journey would be much faster and easier, yet inclusive by augmenting the capacities and capabilities of local-level institutions such as Panchayati Raj Institutions on a sustained basis.³¹
- Enabling women access to land, leasing land through these cooperatives or SHGs should be encouraged as has been successful in the case of Kudumbashree in Kerala and Deccan Development Society in Telangana.³²
- Recognizing, redistributing, reducing, and representing care work is essential for women's enhanced participation and economic empowerment in the world of work. This is particularly important for poor rural communities in which women shoulder a higher burden of unpaid care work. Devising effective and tailored childcare solutions and creating quality jobs in the care economy is a strategic approach for stimulating rural labour markets.³³
- Capacity building programs, trainings and skills development to promote women's entrepreneurship and productive employment, including through cooperatives and employment intensive investment programmes along with facilitating access to microfinance and small loans, specifically designed for women entrepreneurs in the non-farm sector.



Establishing and Enhancing Strong Market Linkages

- Considering the fact that the world handicraft market would be worth **\$1091.2 billion³⁴ by 2024**, expanding at 11%, annually compounded, during 2019-2024; it is essential to explore the status of India versus other global players and strengthen the market linkages to make India a manufacturing hub.
- Indian handicraft exporters, who are typically MSME organisations, require extensive product and market diversification to increase their revenues and global footprint. In light of the tough international competition, Indian handicraft exporters need to move from selling old products to existing trade partners, towards developing a range of contemporary products that target both existing trade partners as well as potentially new ones.
- Improving the value chains that connect non-farm producers with markets. This includes supporting the establishment of producer organisations, promoting partnerships with value chain actors, and providing training and technical assistance to improve processing, and marketing capabilities.
- Enhancing market information systems, providing market intelligence, supporting collective marketing, and facilitating access to markets can enhance non-farm producers' market linkages.



Strengthening Collectives

- In the financial year 2022, around **1.27 million** self-help groups (SHGs) were digitized under Project EShakti, which was conceptualized with the aim of digitizing financial and non-financial data of self-help groups. SHGs and other cooperatives hold the potential to further strengthen the landscape of non-farm sector.³⁵
- Strengthening of Apex as well as Primary Handloom and Handicraft Co-operative Societies through financial packages like interest subsidy on loans and credit guarantee, training of society functionaries, engaging professional designers, upgradation of skills, buyer-seller meets and brand development.
- Training the collectives to increase their technology, marketing and quality control for better production and productivity.
- Supporting the groups to add value; reduce drudgery; and use sustainable technologies.



Creation of Green Jobs

- The ILO estimates that the green economy might generate **24 million (2.4 crore)** jobs globally by 2030, making green skills crucial to the transition to a green economy. Therefore, there is a huge scope in generating employment in green jobs in the non-farm sector.³⁶
- The empirical data between 2015 and 2021 shows that millennials will dominate the world in terms of green talent growth, with a compound annual growth rate of **13%**. While this gives a chance for younger generations to positively influence the greening of the economy.³⁷
- Take a skills-based approach to pave the way for real change. Connect green skills, jobs and broader green economy policies, ensuring development is balanced with demand and the pace of transformation in the marketplace. Provide clarity and direction on which skills need to be developed and the types of training that will be available to prepare the non-farm producers and workers for the future.³⁷
- The creation of green jobs in nonfarm livelihoods sector aligns with the United Nations Sustainable Development Goals (SDGs), particularly Goal 8, Goal 7, Goal 12 and Goal 13. It contributes to achieving these goals by promoting sustainable production and consumption patterns, reducing poverty, and ensuring environmental sustainability.

³¹Abi, et al. (2022). Expanding Non-Farm Livelihood Opportunities Through Mahatma Gandhi Nrega - An Exploration

³²National Institute of Disaster Management, Ministry of Home Affairs, Government of India. (2022). Green Growth and Resource Efficiency for DRR Towards Green Economy

³³International Labour Organisation. (n.d). Empowering Women in the Rural Economy.

³⁴Institute of Foreign Trade, Ministry of Commerce, Government of India. (n.d). Challenges, Opportunity and Threat for Indian Handicraft Export

³⁵Statista. (2022). Number of self-help groups digitized under Project EShakti in India from financial year 2016 to 2022.

³⁶V V Giri National Labour Institute, Ministry of Labour and Employment, Government of India. (2023). Green Jobs in India: Present and Future Aspects.

³⁷LinkedIn. (2022). Global Green Skills Report.

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